Standard Bank

STANDARD BANK GROUP

Pillar 3 Report

for the quarter ended September 2024

THIS REPORT

This report sets out the Standard Bank Group (group/SBG) quarterly disclosures in accordance with the Basel Committee on Banking Supervision's revised pillar 3 disclosure requirements, the South African Reserve Bank (SARB) Directives 1/2019 issued in terms of section 6(6) of the Banks Act No. 94 of 1990 and Regulation 43 of the regulations relating to banks. Certain tables for Standard Bank of South Africa (SBSA), being a significant bank subsidiary, are also included where appropriate.

This Pillar 3 report covers our banking activities and other banking interests.

Shareholders are advised that the information in this report has not been reviewed nor reported on by our external auditors.

All amounts are in rand millions unless otherwise stated.

- 3Q24 refers to the period ended 30 September 2024
- 1H24 refers to the period ended 30 June 2024
- 1Q24 refers to the period ended 31 March 2024
- FY23 refers to the year ended 31 December 2023
- 3Q23 refers to the period ended 30 September 2023

Pillar 3 table references (OV1, CR8 etc.) have been included in the table headings.

KEY PRUDENTIAL REGULATORY METRICS

The following tables provides an overview of the SBG and SBSA prudential regulatory metrics.

KM1: KEY METRICS - SBG

		3Q24	1H24	1Q24	FY23	3Q23
	Available capital[1] (Rm)					
1	Common equity tier I (CET I)	**201 213**	205 230	199 827	201 068	192 302
2	Tier I	**220 614**	224 627	217 664	220 821	210 054
3	Total capital	**251 499**	255 714	257 531	253 647	241 259
	Risk-weighted assets (RWA) (Rm)					
4	Total RWA	**1 624 280**	1 666 807	1 622 860	1 608 587	1 633 246
	Risk-based capital ratios as a percentage of RWA					
5	CET I ratio (%)	**12.4**	12.3	12.3	12.5	11.8
6	Tier I ratio (%)	**13.6**	13.5	13.4	13.7	12.9
7	Total capital ratio (%)	**15.5**	15.3	15.9	15.8	14.8
	Additional CET I buffer requirements as a percentage of RWA					
8	Capital conservation buffer requirement (%)	**2.5**	2.5	2.5	2.5	2.5
9	Countercyclical buffer requirement (%) [2]	**0.1**				
10	Bank domestic systemically important (D-SIB) additional requirements (%)	**1.0**	1.0	1.0	1.0	1.0
11	Total of bank CET I specific buffer requirements (%) (row 8 + row 9 + row 10)	**3.6**	3.5	3.5	3.5	3.5
12	CET I available after meeting the bank's minimum capital requirements (%)	**2.4**	2.3	2.9	2.8	1.8
	Basel III leverage ratio					
13	Total Basel III leverage ratio exposure measure (Rm)	**2 759 135**	2 811 190	2 744 536	2 765 394	2 711 465
14	Basel III leverage ratio (%) (row 2/row 13)	**8.0**	8.0	7.9	8.0	7.7
	LCR					
15	Total HQLA (Rm)	**494 274**	466 851	461 841	449 265	425 678
16	Total net cash outflow (Rm)	**359 418**	351 429	346 598	348 000	312 180
17	LCR ratio (%)	**137.5**	132.8	133.2	129.1	136.4
	NSFR					
18	Total available stable funding (Rm)	**1 659 450**	1 627 305	1 601 597	1 601 602	1 594 979
19	Total required stable funding (Rm)	**1 334 262**	1 341 392	1 338 713	1 321 015	1 301 038
20	NSFR ratio (%)	**124.4**	121.3	119.6	121.2	122.6

1 Excludes unappropriated profits.
2 Countercyclical buffer requirements is 0,0812 of a percent and rounds to 0.1.

KM1: KEY METRICS - SBSA

		3Q24	1H24	1Q24	FY23	3Q23
	Available capital[1] (Rm)					
1	Common equity tier I (CET I)	**107 338**	106 801	106 246	106 290	99 483
2	Tier I	**125 554**	125 015	122 944	124 951	116 149
3	Total capital	**148 393**	148 177	155 633	150 365	139 538
	Risk-weighted assets (RWA) (Rm)					
4	Total RWA	**943 579**	959 122	918 868	898 694	917 646
	Risk-based capital ratios as a percentage of RWA[1]					
5	CET I ratio (%)	**11.4**	11.1	11.6	11.8	10.8
6	Tier I ratio (%)	**13.3**	13.0	13.4	13.9	12.7
7	Total capital ratio (%)	**15.7**	15.4	16.9	16.7	15.2
	Additional CET I buffer requirements as a percentage of RWA					
8	Capital conservation buffer requirement (%)	**2.5**	2.5	2.5	2.5	2.5
9	Countercyclical buffer requirement (%) [2]	**0.1**				
10	Bank G-SIB and/or D-SIB additional requirements (%)	**1.0**	1.0	1.0	1.0	1.0
11	Total of bank CET I specific buffer requirements (%) (row 8 + row 9 + row 10)	**3.6**	3.5	3.5	3.5	3.5
12	CET I available after meeting the bank's minimum capital requirements (%)	**2.7**	2.4	3.9	3.7	2.2
	Basel III leverage ratio					
13	Total Basel III leverage ratio exposure measure (Rm)	**2 261 707**	2 129 227	2 167 065	2 068 965	2 065 083
14	Basel III leverage ratio (%) (row 2/row 13)	**5.6**	5.9	5.7	6.0	5.6
	Liquidity coverage ratio (LCR)					
15	Total high-quality liquid assets (HQLA) (Rm)	**376 921**	343 216	342 484	323 657	301 468
16	Total net cash outflow (Rm)	**314 012**	279 685	271 657	254 120	226 715
17	LCR ratio (%)	**120.0**	122.7	126.1	127.4	133.0
	Net stable funding ratio (NSFR)					
18	Total available stable funding (Rm)	**1 125 707**	1 088 573	1 067 851	1 077 909	1 067 391
19	Total required stable funding (Rm)	**1 033 433**	1 026 537	1 010 100	1 007 220	985 816
20	NSFR ratio (%)	**108.9**	106.0	105.7	107.0	108.3

1 Excludes unappropriated profits.
2 Countercyclical buffer requirements is 0,0716 of a percent and rounds to 0.1.

CAPITAL MANAGEMENT

OVERVIEW OF RISK-WEIGHTED ASSETS

The table below is an overview of RWA and measurement approach.

OV1: BASEL RWA AND ASSOCIATED CAPITAL REQUIREMENTS - SBG

	RWA		Minimum capital requirements[1]
	3Q24	1H24	3Q24
Credit risk (excluding counterparty credit risk (CCR))	**1 151 961**	1 158 532	**149 755**
Of which standardised approach[2]	**529 184**	542 959	**68 794**
Of which internal rating-based (IRB) approach	**622 777**	615 573	**80 961**
Counterparty Credit Risk (CCR)	**61 818**	65 500	**8 036**
Of which standardised approach for CCR	**60 307**	64 252	**7 840**
Of which Other CCR	**1 511**	1 248	**196**
Credit valuation adjustments	**11 280**	18 563	**1 466**
Equity positions under the simple risk weight approach	**8 028**	7 691	**1 044**
Equity investment in funds - look through approach	**5 331**	5 793	**693**
Equity investment in funds - mandate-based approach	**6 317**	6 430	**821**
Equity investment in funds - fall-back approach	**136**	186	**18**
Securitisation exposures in banking book	**1 092**	1 338	**142**
Of which: Internal Ratings-Based Approach (SEC-IRBA)	**650**	883	**85**
Of which: External Ratings-Based Approach (SEC-ERBA)	**442**	455	**57**
Market risk	**90 186**	105 337	**11 724**
Of which standardised approach	**57 394**	61 020	**7 461**
Of which internal model approach (IMA)	**32 792**	44 317	**4 263**
Operational risk	**212 676**	220 476	**27 648**
Of which standardised approach	**128 698**	136 498	**16 731**
Of which advanced measurement approach	**83 978**	83 978	**10 917**
Amounts below the thresholds for deduction (subject to 250% risk weight)	**75 455**	76 961	**9 809**
Total	**1 624 280**	1 666 807	**211 156**

1 Measured at 13.0% and excludes confidential bank-specific capital requirements. The group's D-SIB buffer requirement amounts to 1.5% of which 1.0% is required to be held in CET I. There is currently no requirement for the countercyclical buffer add-on in South Africa or in other jurisdictions in which we have significant exposures.
2 Portfolios on the standardised approach relate to the Africa Regions, Standard Bank Offshore, and portfolios for which application to adopt the IMA has not been submitted, or for which an application has been submitted but approval has not been granted.

OV1: BASEL RWA AND ASSOCIATED CAPITAL REQUIREMENTS - SBSA

	RWA		Minimum capital requirements[1]
	3Q24	1H24	3Q24
Credit risk (excluding CCR)	**676 670**	672 120	**87 967**
Of which standardised approach[2]	**52 419**	54 370	**6 814**
Of which IRB approach	**624 251**	617 750	**81 153**
Counterpart Credit Risk (CCR)	**40 619**	44 834	**5 280**
Of which standardised approach for CCR	**39 108**	43 586	**5 084**
Of which Other CCR	**1 511**	1 248	**196**
Credit valuation adjustments	**10 204**	11 643	**1 327**
Equity positions under the simple risk weight approach	**2 833**	2 468	**368**
Equity investment in funds - look through approach	**968**	899	**126**
Equity investment in funds - mandate-based approach	**6 317**	6 430	**821**
Equity investment in funds - fall-back approach	**136**	186	**18**
Securitisation exposures in banking book	**1 092**	1 338	**142**
Of which: Internal Ratings-Based Approach (SEC-IRBA)	**650**	883	**85**
Of which: External Ratings-Based Approach (SEC-ERBA)	**442**	455	**57**
Market risk	**63 292**	77 288	**8 228**
Of which standardised approach	**30 500**	32 971	**3 965**
Of which IMA	**32 792**	44 317	**4 263**
Operational risk	**122 274**	122 521	**15 895**
Of which standardised approach	**38 296**	38 543	**4 978**
Of which advanced measurement approach	**83 978**	83 978	**10 917**
Amounts below the thresholds for deduction (subject to 250% risk weight)	**19 174**	19 395	**2 493**
Total	**943 579**	959 122	**122 665**

1 Measured at 13.0% and excludes confidential bank-specific capital requirements. The group's D-SIB buffer requirement amounts to 1.5% of which 1.0% is required to be held in CET I.
2 Portfolios on the standardised approach relate to portfolios for which application to adopt the IMA has not been submitted, or for which an application has been submitted but approval has not been granted.

LEVERAGE RATIO

The non-risk-based leverage measure is designed to complement the Basel III risk-based framework. The tables below show the reconciliation of the total assets in the financial statements to the leverage ratio exposure measure and detailed breakdowns of the components of the leverage ratio for the group and SBSA.

LR1: SUMMARY COMPARISON OF ACCOUNTING ASSETS VS. LEVERAGE RATIO EXPOSURE MEASURE - SBG

	3Q24 Rm	1H24 Rm
Total consolidated assets - banking activities	**2 518 986**	2 561 058
Adjustment for investments in banking, financial, insurance or commercial entities that are consolidated for accounting purposes but outside the scope of regulatory consolidation	**15 992**	19 162
Adjustment for fiduciary assets recognised on the balance sheet pursuant to the operative accounting framework but excluded from the leverage ratio exposure measure		
Adjustments for derivative financial instruments	**(22 495)**	(18 768)
Adjustment for securities financing transactions (SFT) (repos and similar secured lending)	**53 685**	53 420
Adjustment for off-balance sheet items (conversion to credit equivalent amounts of off-balance sheet exposures)	**181 515**	178 376
Other adjustments	**11 452**	17 942
Leverage ratio exposure	**2 759 135**	2 811 190

LR1: SUMMARY COMPARISON OF ACCOUNTING ASSETS VS. LEVERAGE RATIO EXPOSURE MEASURE - SBSA

	3Q24 Rm	1H24 Rm
Total consolidated assets	**2 101 293**	1 992 069
Adjustment for derivative financial instruments	**(21 290)**	(18 586)
Adjustments for securities financing transactions (i.e. repos and similar securities lending)	**40 700**	42 244
Adjustment for off-balance sheet items (i.e. conversion to credit equivalent amounts of off-balance sheet)	**99 201**	93 988
Other adjustments	**41 803**	19 512
Leverage ratio exposure	**2 261 707**	2 129 227

LR2: LEVERAGE RATIO COMMON DISCLOSURE TABLE - SBG

	3Q24 Rm	1H24 Rm
On-balance sheet exposures (excluding derivatives and securities financing transactions (SFT))	**2 190 839**	2 314 365
On-balance sheet exposures (excluding derivatives and SFTs, but including collateral)	**2 210 224**	2 336 318
Less: asset amounts deducted in determining Basel III tier I capital	**(19 385)**	(21 953)
Derivatives exposures	**72 760**	51 547
Replacement cost associated with all derivatives transactions (where applicable net of eligible cash variation margin and/or with bilateral netting)	**23 034**	17 872
Add-on amounts for potential future exposures (PFE) associated with all derivatives transactions	**37 354**	35 243
Less: deductions of receivables assets for cash variation margin provided in derivatives transactions	**(15 125)**	(13 049)
Less: exempted central counterparty (CCP) leg of client-cleared trade exposures	**(22 768)**	(21 298)
Adjusted effective notional amount of written credit derivatives	**50 265**	32 779
SFT exposures	**314 021**	266 902
Gross SFT assets (with no recognition of netting), after adjusting for sales accounting transactions	**260 336**	213 482
CCR exposure for SFT assets	**53 685**	53 420
Netted amounts of cash payables and cash receivables of gross SFT assets		
Agent transaction exposures		
Other off-balance sheet exposures	**181 515**	178 376
Off-balance sheet exposure at gross notional amount	**406 782**	393 183
Less: adjustments for conversion to credit equivalent amounts	**(225 267)**	(214 807)
Capital and total exposures		
Tier I capital[1]	**220 614**	224 627
Total exposures	**2 759 135**	2 811 190
Leverage ratio		
Basel III leverage ratio	**8.0**	8.0
Basel III leverage ratio (including unappropriated profits)	**8.7**	8.7

1 Excludes unappropriated profits.

LR2: LEVERAGE RATIO COMMON DISCLOSURE TABLE - SBSA

	3Q24 Rm	1H24 Rm
On-balance sheet exposures (excluding derivatives and SFT)	**1 788 613**	1 726 728
On-balance sheet exposures (excluding derivatives and SFT), but including collateral	**1 795 740**	1 733 827
Less: asset amounts deducted in determining Basel III tier I capital	**(7 127)**	(7 099)
Derivatives exposures	**71 556**	51 366
Replacement cost associated with all derivatives transactions (where applicable net of eligible cash variation margin and/or with bilateral netting)	**23 864**	16 989
Add-on amounts for PFE associated with all derivatives transactions	**35 320**	35 945
Less: deductions of receivables assets for cash variation margin provided in derivatives transactions	**(15 125)**	(13 049)
Less: exempted CCP leg of client-cleared trade exposures	**(22 768)**	(21 298)
Adjusted effective notional amount of written credit derivatives	**50 265**	32 779
SFT exposures	**302 337**	257 145
Gross SFT assets (with no recognition of netting), after adjusting for sales accounting transactions	**261 637**	214 901
Less: Netted amounts of cash payables and cash receivables of gross SFT assets		
CCR exposure for SFT assets	**40 700**	42 244
Agent transaction exposures		
Other off-balance sheet exposures	**99 201**	93 988
Off-balance sheet exposure at gross notional amount	**302 788**	289 557
Less: adjustments for conversion to credit equivalent amounts	**(203 587)**	(195 569)
Capital and total exposures		
Tier I capital[1]	**125 554**	125 015
Total exposures	**2 261 707**	2 129 227
Leverage ratio		
Basel III leverage ratio	**5.6**	5.9
Basel III leverage ratio (including unappropriated profits)	**5.7**	6.2

1 Excludes unappropriated profits

CREDIT RISK

The table below explains the variations in credit RWA under the IRB approach attributable to each of the key risk drivers. Note the following:

- asset size represents organic changes in the book size and composition
- asset quality represents changes in borrower risk, such as risk grade migration or similar effects
- foreign exchange movements are changes driven by changes in foreign exchange rates.

CR8: IRB - RWA FLOW STATEMENTS OF CREDIT RISK EXPOSURES - SBG

	3Q24 RWA Rm	1H24 RWA Rm	1Q24 RWA Rm	FY23 RWA Rm
RWA at the beginning of the reporting period	**615 573**	597 234	597 640	628 359
Asset size	**17 141**	20 622	18 111	(27)
Asset quality	**(4 611)**	1 601	(20 758)	(29 520)
Model updates				
Foreign exchange movements	**(5 260)**	(3 256)	1 489	(1 093)
Other	**(66)**	(628)	752	(79)
RWA at end of the reporting period	**622 777**	615 573	597 234	597 640

MARKET RISK

We have approval from the SARB to adopt the IMA for most asset classes and across most market variables in SBSA with the balance of exposures on the standardised model. We use the historical value-at-risk (VaR) and stressed VaR (SVaR) approach to quantify market risk under normal and stressed conditions.

For risk management purposes, VaR is based on 251 days of unweighted recent historical data updated at least monthly, a holding period of one day and a confidence level of 95%. SVaR uses a similar methodology to VaR but is based on a 251-day period of financial stress which is reviewed quarterly and assumes a ten-day holding period and a worst case loss.

Where we have received internal model approval, the market risk regulatory capital requirement is based on VaR and SVaR; both of which use a confidence level of 99% and a ten-day holding period.

VaR is calculated on the basis of exposures outstanding at the close of business and, therefore, does not necessarily reflect intra-day exposures. VaR is unlikely to reflect loss potential on exposures that only arise under significant market movements.

MR2: RWA FLOW STATEMENTS OF MARKET RISK EXPOSURE UNDER IMA

	3Q24			1H24		
	VaR Rm	Stressed VaR Rm	Total RWA Rm	VaR Rm	Stressed VaR Rm	Total RWA Rm
RWA at the beginning of the reporting period	**18 286**	**26 030**	**44 317**	10 682	17 526	28 209
Movement in risk levels	**(3 927)**	**(7 598)**	**(11 524)**	7 604	8 504	16 108
Model updates/changes						
RWA at end of the reporting period	**14 359**	**18 433**	**32 792**	18 286	26 030	44 317

FUNDING AND LIQUIDITY RISK

The LCR is designed to promote short-term resilience of the 30 calendar day liquidity profile, by ensuring that banks have sufficient HQLA to meet potential outflows in a stressed environment.

LIQ1: LIQUIDITY COVERAGE RATIO - SBG AND SBSA

	SBG		SBSA	
	3Q24[1]		3Q23[2]	
	Total unweighted[3] value (average) Rm	Total weighted[4] value (average) Rm	Total unweighted[3] value (average) Rm	Total weighted[4] value (average) Rm
HQLA				
Total HQLA		494 274		376 921
Retail deposits and deposits from small business customers, of which:	986 154	50 122	364 347	29 707
Stable deposits	86 111	4 305	64 208	3 211
Less-stable deposits	900 043	45 817	300 139	26 496
Unsecured wholesale funding, of which:	1 028 006	528 215	745 006	395 689
Operational deposits (all counterparties) and deposits in networks of cooperative banks	234 101	55 465	234 101	55 465
Non-operational deposits (all counterparties)	791 750	470 595	508 766	338 085
Unsecured debt	2 155	2 155	2 139	2 139
Secured wholesale funding		2 094		2 094
Additional requirements	160 975	48 515	78 030	35 059
Outflows related to derivative exposures and other collateral requirements	15 955	15 955	14 867	14 867
Outflows related to loss of funding on debt products	3 619	3 619	3 619	3 619
Credit and liquidity facilities	141 401	28 941	59 544	16 573
Other contractual funding obligations	12 052	12 052	9 497	9 497
Other contingent funding obligations	469 847	18 322	403 280	16 169
Cash outflows		659 320		488 215
Secured lending	89 639	80 501	52 063	42 926
Inflows from fully performing exposures	227 430	190 417	129 187	106 475
Other cash inflows	41 851	28 984	32 635	24 802
Cash inflows		299 902		174 203

	SBG Total adjusted value[5] Rm	SBSA Total adjusted value[5] Rm
Total HQLA	494 274	376 921
Total net cash outflows	359 418	314 012
LCR (%)	137.5	120.0

1 Simple average of 92 days of daily observations over the quarter ended 30 September 2024 for SBSA, SBSA Isle of Man branch, Stanbic Bank Ghana, Stanbic Bank Uganda, Stanbic IBTC Bank Nigeria, Standard Bank Namibia, Standard Bank Isle of Man Limited and Standard Bank Jersey Limited and the simple average of three month-end data points ended 31 July 2024, 31 August 2024 and 30 September 2024 for the other Africa Regions banking entities.
2 Simple average of 92 days of daily observations over the quarter ended 30 September 2024 excluding foreign branches.
3 Unweighted value represents the outstanding balances maturing or callable within 30 days (for inflows and outflows).
4 Weighted value is calculated after the application of respective haircuts (for HQLA) or inflow and outflow rates (for inflows and outflows).
5 Adjusted value calculated after the application of both (i) haircuts and inflow and outflow rates and (ii) any applicable caps (i.e. cap on level 2B and level 2 assets for HQLA and cap on inflows).

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